



Sale-Leaseback Cost of Capital Summary

Prepared July 15, 2026

NET PROCEEDS AT CLOSE

\$3,675,000

IMPLIED COST OF CAPITAL

7.25%

BREAKEVEN CAP RATE

8.45%

ASSUMPTIONS

Sale price	\$5,000,000	Lease structure	NNN
Cap rate (stated)	7.25%	Lease term	15 yrs
Annual escalation	2.0%	Alt. loan rate	8.50%
Alt. loan amount	\$4,000,000		

YEAR 1 ANNUAL COST COMPARISON

Sale-Leaseback rent	\$362,500	Conventional loan debt service	\$422,684
Lower Year 1 cost	Sale-Leaseback by \$60,184	Breakeven cap rate	8.45%

Illustrative only. Assumes straight-line rent escalation and level P&I amortization; does not incorporate tax treatment, depreciation loss on the sold asset, or covenant terms specific to a given lease or credit agreement. Not a loan offer, commitment, or investment recommendation. Cobalt Commercial Credit is an advisory and placement firm; actual terms depend on lender/counterparty underwriting. Prepared for discussion purposes only.